COUNTERFEITING

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What is Counterfeit Currency?

- Counterfeit currency is fake or imitation money produced without legal government authorization with the intention of deceiving people and passing it off as genuine legal tender.
- It is a form of financial fraud and economic crime.
- Forged notes enter circulation through illicit networks, unsuspecting individuals and legitimate commercial transactions.
- Counterfeiting has a long history, dating back to the earliest forms of coinage.
- Some of the earliest known counterfeit coins were plated copies (Fourrées) in Lydian civilization.
- Today's counterfeiters use advanced printing techniques and high-quality materials to create convincing replicas of banknotes, make it difficult to trace the origin of counterfeit currency

Key Characteristics

- ✓**Illegal Production:** Produced without authorization from the government or central bank and intended for fraudulent use.
- ✓**Intent to Deceive:** Designed to imitate the appearance and feel of genuine banknotes or coins to mislead individuals, businesses and financial institutions.
- ✓**Missing Security Features:** Typically lacks or poorly replicates security features found in genuine currency, such as security threads, watermarks, micro-printing and color-shifting inks.

Why Counterfeit Currency is a Problem

- **Financial loss:** If you accept a fake banknote, you usually lose its entire value because central banks and stores do not reimburse you.
- **Criminal ties:** The illegal trade in fake money often funds organized crime, drug trafficking, and money laundering.
- **Damaged trust:** Widespread fakes make people hesitant to accept cash, hurting everyday small businesses and the economy.

Common Types

- **Currency:** Producing or passing fake paper money or coins to defraud systems and individuals.
- **Consumer Goods:** Replicating designer clothing, luxury watches, handbags, and shoes.
- **Electronics & Parts:** Manufacturing fake batteries, chargers, or critical auto/aviation components.
- **Health & Safety Items:** Falsifying medicines, cosmetics, food, and drinks, which often use harmful or inactive ingredients

Key Risks & Consequences

- **Health and Safety:** Substandard or toxic materials in fake cosmetics, electronics, and medications can cause severe illness or death.
- **Economic Loss:** Legitimate businesses lose revenue, and governments lose billions in tax income. According to reports from the The Daily Star, counterfeit items account for a major share of local markets, causing billions of dollars in annual economic drain.
- **Criminal Ties:** The counterfeit trade frequently funds organized crime, forced labor, and illegal networks.

Counterfeiting Currency

- Undermines National Economies: Weakens financial institutions and jeopardizes people's livelihoods.
- Fuels the Underground Economy: Can finance the activities of organized criminal networks and terrorists.
- Reduces the Value of Legitimate Money: Increased circulation of unauthorized currency can affect the value of genuine money.
- Increases Prices: An artificial increase in the money supply may contribute to inflation.
- Creates Financial Losses: Traders and businesses may suffer losses when counterfeit notes are detected and confiscated.
- Erodes Public Trust: Undermines confidence in the currency, financial system and wider economy.

Counterfeit Currency Smuggling Between India and Bangladesh

- **Major Concern:** The India–Bangladesh border has been associated with the cross-border smuggling of Fake Indian Currency Notes (FICN).
- **Cross-Border Route:** Counterfeit Indian currency has been reported as entering India through Bangladesh, particularly via West Bengal.
- **Malda as a Transit Area:** Malda, West Bengal has historically been identified as an important transit area for FICN smuggling from the Bangladesh side into India.
- **Smuggling Networks:** Criminal networks move counterfeit notes across the border and subsequently distribute them to other parts of India.
- **Bilateral Cooperation:** India and Bangladesh have established mechanisms, including an MoU and joint cooperation, to prevent and counter the production, smuggling and circulation of counterfeit currency.

Notable Cases

- 2025 — Jhenaidah: BGB arrested a man near the India–Bangladesh border with ₹5.04 lakh in counterfeit Indian currency. According to BGB, he had been living in Bihar and allegedly received the fake notes near the border in exchange for Tk 60,000, then attempted to re-enter India.
- 2023 — Dhaka: Police uncovered a syndicate producing counterfeit Indian rupees in Bangladesh, which were allegedly used to purchase narcotics and facilitate smuggling transactions. The syndicate reportedly distributed counterfeit rupees through different border points.
- 2021 — Chattogram: Police investigation identified a transnational network in which counterfeit Indian rupees allegedly produced in Lahore were transported through Sri Lanka and Chattogram, then moved toward India through Bangladesh's land routes.

Prevention: Polymer banknotes

- Polymer banknotes provide greater resistance to counterfeiting than traditional paper notes. Australia pioneered modern long-lasting polymer banknotes.
- 1988: Australia introduced a polymer $10 commemorative note.
- 1996: Australia became the first country with a complete circulating series of polymer banknotes. Polymer technology was subsequently adopted by numerous countries, including New Zealand.

Security features and technology

- Use advanced security features that are difficult to reproduce. Examples include:
  - 3D security ribbons
  - Special printing techniques
  - Complex designs and colors
  - Distinctive portraits
  - Polymer substrates
- Security features should be periodically upgraded as counterfeiting technology evolves.

Maintaining reserve banknote series

- Countries can maintain reserve or emergency banknote series.
- These notes can be introduced if widespread counterfeiting compromises the existing currency.
- Switzerland historically maintained reserve series of Swiss franc banknotes.
- Reserve designs provided an additional safeguard against major counterfeiting threats.

Penalties: Global Perspective

Country	Criminal Penalty
Canada	Maximum 14 years' imprisonment
China	3 years to life imprisonment + fine
France	Maximum 30 years + €450,000 fine
Germany	Maximum 15 years' imprisonment
Hong Kong	Maximum 14 years' imprisonment
Italy	Maximum 12 years + €3,098 fine
Japan	3 years to life imprisonment
South Korea	2 years to life imprisonment
Macau	2–12 years' imprisonment

Penalties: Global Perspective

Country	Criminal Penalty
Netherlands	Maximum 9 years + €67,000 fine
Norway	Maximum 10 years in serious cases, or a fine
Philippines	6–12 years' imprisonment
Poland	5–25 years' imprisonment
Portugal	Bills: 3–12 years; Coins: 240 days–2 years
Singapore	Maximum 20 years + fine
Taiwan	Minimum 5 years; life imprisonment in extreme cases + fines
United Kingdom	Maximum 10 years + possible fine
United States	Maximum 20 years + possible fine
Zambia	Life imprisonment + possible fine

Counterfeiting of consumer goods

Counterfeiting of consumer goods is the unauthorized manufacturing, branding, and selling of imitation products that mimic genuine items to deceive buyers.

Key Definition & Distinctions

- **Counterfeit Goods:** Products that illegally use a registered trademark, logo, or brand name to pass as the original item.
- **Dupes or Knockoffs:** Items that copy the physical design or style of a product **without** using the protected trademark or brand name.
- **Pirated Goods:** Unauthorized copies of copyrighted material like music, movies, or software

Common Signs of Counterfeit Goods

- **Unusually Low Prices:** Prices far below market value or suspicious, high-pressure discounts.
- **Poor Packaging Quality:** Spelling mistakes, blurry logos, flimsy materials, or inconsistent fonts.
- **Missing Details:** Lack of serial numbers, batch codes, warranty info, or customer support contacts.
- **Untrusted Sellers:** Purchases from unverified social media profiles, random street vendors, or unauthorized online storefronts.

In Bangladesh

- **Top Affected Categories: Personal care and cosmetics:** Accounts for about 32% of fake goods.
- **Electrical and electronic equipment:** Accounts for ~13% (defective wiring drives a high percentage of short-circuit fires).
- **Clothing and footwear:** Accounts for ~12%.
- **Food and beverages:** Accounts for ~10% (including adulterated milk, tea, coffee, edible oil, spices, and bottled water).
- **Pharmaceuticals:** Accounts for ~9%, featuring fake antibiotics and diluted critical medicines.

- Many fake goods—bearing copied brand names and forged Bangladesh Standards and Testing Institution (BSTI) seals or holograms—are produced in hidden factories around Dhaka, Chattogram, and other regional cities.

- According to the **Bangladesh Cosmetics and Toiletries Importers Association**, nearly 40 percent of the local market is now controlled by counterfeit and adulterated products. Almost no sector remains untouched—medicines, food and beverages, spices, dairy products, cigarettes, cosmetics, fake revenue stamps and more are being replicated. (Bangladesh Pratidin)
- The most **commonly adulterated** items include milk, oil, honey, coffee, tea, sauces, chocolate, bottled water, soft drinks and baby food.

- According to various studies, including those by the **Bangladesh Bureau of Statistics (BBS)**, 80–90 percent of households regularly consume milk, tea, coffee and baby food. Millions of children depend entirely on infant formula.

- Tea, coffee, edible oil, powdered milk, bottled water, soft drinks, cosmetics, medicines, cigarettes and electrical goods—are being sold using fake BSTI seals and copied brand identities.
- Many of these are produced in unauthorized factories in Dhaka, Chattogram and other cities

- According to **World Health Organization** data, around 600 million people fall ill each year due to contaminated food, and approximately **442,000 die**.
- In Bangladesh, studies suggest that **millions suffer annually** from cancer, kidney disease and diabetes linked to adulterated food consumption

Enforcement Gaps:

- Regulatory bodies like the Directorate of National Consumer Rights Protection (DNCRP) and BSTI regularly run mobile courts and raids (such as penalizing dozens of businesses for fake sauces and coffee), but enforcement is often reactive rather than systemic.

Counterfeiting of documents

- **Counterfeiting of documents** refers to the unauthorized reproduction of an official or genuine document from scratch to deceive others into believing it is authentic.
- It is a form of document fraud heavily penalized under global criminal legal codes

Common Targets of Document Counterfeiting

Criminal networks **routinely copy high-value documents** to bypass legal controls or generate financial gain

- **Identity & Travel Documents:** Passports, driver's licenses, and national ID cards to facilitate illegal transit or conceal identities.
- **Financial & Security Documents:** Checks, stock certificates, deeds, and wills used for financial fraud.
- **Certificates & Credentials:** College diplomas, birth certificates, and professional licenses

Legal Implications & Penalties

Counterfeiting documents is treated as an economic or state crime. Penalties depend heavily on the jurisdiction and type of document targeted

- **Public/Official Documents:** Under frameworks like the UNODC Criminal Code models, faking official public registers, bills of exchange, or wills carries elevated prison sentences (often ranging up to 5 years or more).
- **Local Statutes (e.g., Bangladesh):** According to the Penal Code, 1860 (Section 476), possessing or counterfeiting authentication devices, marks, or seals onto materials to fabricate fake documents is punishable by up to **seven years of imprisonment** and a fine.

Others in Penal Code

Offense	Relevant Section	Maximum Penalty
General Forgery (Making a false document)	Section 465	Up to 2 years imprisonment, or fine, or both
Forgery of Court Records / Public Registers	Section 466	Up to 7 years imprisonment and a fine
Forgery of Valuable Securities, Wills, etc.	Section 467	**Imprisonment for life**, or up to 10 years, plus a fine
Counterfeiting Authentication Marks (Valuable Securities)	Section 475	**Imprisonment for life**, or up to 7 years, plus a fine
Counterfeiting Marks Used by Public Servants	Section 484	Up to 3 years imprisonment and a fine

Counterfeiting coins

- Counterfeiting coins is the illegal manufacture, alteration, or distribution of imitation currency designed to deceive users and pass as genuine money

Common Methods of Coin Counterfeiting

- **Casting (Molded):** Pouring molten base metal into wax or plaster molds created from real coins, often leaving rough edges, soft details, or casting trees.
- **Struck Counterfeits:** Pressing fake metal blanks between custom-engraved steel dies often made using CNC machines and digital scans.
- **Plating and Coating:** Covering a cheap base metal core (such as copper or lead) with a thin layer of gold or silver.
- **Clipping and Shaving:** Historically shaving or filing small pieces of precious metal off the edges of real coins to hoard the excess metal.
- **Bi-Metallic Forgery:** Painting or mismatching the inner and outer rings of modern two-tone coins

Legal Penalties (Bangladesh Context)

Under The Penal Code, 1860, dealing with counterfeit coins carries strict punishments:

- **Counterfeiting general coins:** Up to **7 years imprisonment** and a fine.
- **Counterfeiting official Bangladesh coins:** Up to **10 years or life imprisonment** and a fine.
- **Making or selling tools for counterfeiting:** Ranging from **3 to 10 years imprisonment** depending on the currency type.
- **Importing, exporting, or passing known fake coins:** Up to **10 years imprisonment**

Trademark counterfeiting

- Trademark counterfeiting is the unauthorized production, distribution, or sale of goods or packaging that bear a fake trademark identical or virtually indistinguishable from a validly registered trademark.
- It is a severe, intentional form of trademark infringement designed to trick buyers into believing they are purchasing a genuine product.
- **Difference from Infringement:** Ordinary trademark infringement happens when similar marks cause consumer confusion about a product's source. Counterfeiting involves a direct, fake duplicate of a registered mark placed on goods.
- **Common Categories:** Counterfeit items frequently appear in personal care products, clothing, electronics, food, beverages, and pharmaceuticals.

Legal Context in Bangladesh

- **The Trademarks Act, 2009:** Governs trademark rights and criminal/civil remedies for illegal copying and misuse in local markets.
- **The Penal Code, 1860:** Under **Section 483**, counterfeiting a trade mark or property mark carries a punishment of up to two years in prison, a fine, or both.

Counterfeiting of electronics

Counterfeiting of electronics and parts involves unauthorized components—such as integrated circuits, transistors, and capacitors—that are misrepresented in quality, origin, or performance to infringe on trademark and intellectual property laws.

Common Techniques

- **Blacktopping / Sanding:** Erasing original markings on used or inferior chips and applying new, fake logos, date codes, or part numbers.
- **E-Waste Repurposing:** Harvesting microchips and components from discarded electronics, cleaning them up, and selling them as brand-new.
- **Relabeling / Grade Spoofing:** Upgrading commercial-grade parts to military-grade specifications or relabeling lower-spec components as high-performance or RoHS-compliant.
- **Defective Remanufacturing:** Reselling factory-rejected or failed components that pass basic visual checks but break down under real-world stress

IN BANGLADESH

Economic and Structural Impact

- **Market Prevalence:** Counterfeit goods account for roughly **39% to 40%** of all products circulating in the domestic Bangladeshi market.
- **Financial Losses:** The wider counterfeiting market drains an estimated **Tk 3,170 crore in tax revenues** annually and drives over **Tk 13,680 crore in business losses** for legitimate brands.
- **The Gray Market Loophole:** Many low-quality electrical parts are **smuggled into Bangladesh from China via unofficial channels.** Counterfeiters take these components, apply fake local or foreign brand logos (including unauthorized Samsung or Nokia labels), and sell them below market price without warranties.

- **Emerging Solutions:** To combat this, researchers and tech firms are introducing supply-chain solutions like **TraceChainBD**, which integrates blockchain and IoT to allow buyers to verify components through unalterable QR codes

- Fire Hazards: Fake electrical goods, including bulbs, fans, and wires, often fail safety standards. The fire service reports that **38%** of last year's **fire incidents** were caused by electrical short circuits due to low-quality wiring.

Counterfeiting of health and safety items

- Counterfeiting of health and safety items involves the illegal production, packaging, or labeling of fake goods—such as **prescription drugs, medical devices, hand sanitizers, and personal protective equipment**—to look genuine for financial gain

Common Types of Counterfeited Items

- **Medicines and Vaccines:** Prescription and over-the-counter drugs, cancer therapies, antibiotics, and lifestyle medications.
- **Medical Devices:** Contact lenses, surgical equipment, diagnostic tests, and syringes.
- **Sanitizing and Hygiene Products:** Liquid hand sanitizers, surface disinfectants, and toothpaste

Key Facts and Scale of the Problem

- **Economic Losses:** Bangladesh loses an estimated **$309 million annually** from counterfeit medicines alone.
- **Market Breakdown:** Fake personal care items make up **32%** of the country's counterfeit market, while pharmaceuticals account for **9%**. Up to **40%** of all domestic goods in Bangladesh may be counterfeit due to enforcement gaps.
- **Recent Seizures:** Law enforcement (such as the Detective Branch) regularly raid underground manufacturing hubs, seizing fake syrups, children's liquid medicines, unlabelled capsule shells, filling machines, and counterfeit hygiene soaps (such as recent operations in Mohammadpur, Dhaka).
- **Health Risks:** Counterfeit drugs and safety items often contain incorrect active ingredients, toxic substances, or zero therapeutic value, leading to **treatment failures, drug resistance, or fatal complications**

Consumers' Right Protection Act, 2009

- **Selling or offering expired or fake products/medicines:** Punishable by **up to 1 year in prison**, a fine of **up to Taka 50,000**, or both (Section 51).
- **Market enforcement:** The Directorate of National Consumer Rights Protection (DNCRP) routinely penalizes establishments and seizes fake or unauthorized health items through nationwide monitoring drives.

How to Protect Yourself

- **Buy from Authorized Sources:** Only purchase medications and safety supplies from licensed pharmacies, hospitals, or direct manufacturers.
- **Inspect Packaging:** Look for spelling errors, missing batch numbers, broken seals, or unusual coloring and consistency.
- **Watch for Unexpected Side Effects:** Report unusual reactions or perceived lack of efficacy to local health authorities.


Any
Questions